Question #1 of 83

Question ID: 1674698

Which of the following scenarios *most accurately* illustrates the use of liability-driven investing?

Scenario 1:	A commercial bank managing the interest rate exposures of both assets and liabilities on an ongoing basis
Scenario 2:	An asset manager structuring a portfolio of bonds to immunize corporate debt obligations

A) Scenario 2 only.

B) Both Scenario 1 and Scenario 2.

C) Scenario 1 only.

Question #2 of 83

Question ID: 1674701

Which of the following portfolios is *most likely* to display the highest convexity?

	Portfolio A	Portfolio B	Portfolio C
Macaulay duration	7.31	7.29	7.30
Cash flow yield	5.64%	5.59%	5.61%
Bond composition (maturity)	2-year bonds and 14-year bonds	9-year bonds	3-year bonds, 8-year bonds, and 12-year bonds

A) Portfolio B.

B) Portfolio C.

C) Portfolio A.

Question #3 of 83

Question ID: 1674630

Chris Lipczynski owns a large portfolio that is predominantly invested in domestic equities. He now desires to diversify the portfolio to reduce overall portfolio risk and to generate cash flows that maintain purchasing power over the next 20 years. Lipczynski's current portfolio has a correlation of −0.20 with a domestic fixed-coupon bond portfolio and a correlation of −0.05 with a domestic inflation-linked bond portfolio. The correlation between a domestic fixed-coupon bond portfolio and a domestic inflation-linked bond portfolio is 0.70. Which of the following asset allocations is *most likely* to satisfy Lipczynski's stated desires for his portfolio?

A) 50% domestic equities; 50% fixed-coupon bonds.

B) 50% domestic equities; 30% fixed-coupon bonds; 20% inflation-linked bonds.

C) 80% domestic equities; 20% fixed-coupon bonds.

Question #4 of 83

Question ID: 1674677

An institutional portfolio manager is managing a fixed-income portfolio with a wide range of bonds and would like to engage in securities lending to enhance returns. Which of the following statements regarding securities lending is correct?

A) Typically, the securities lender must physically deliver the securities to the borrower.

B) The rebate rate is equal to the securities lending rate less the collateral earnings rate.

C) Securities lending arrangements are typically collateralized by cash only.

Question #5 of 83

Question ID: 1674660

A fixed-income analyst gathers the following data on a domestic bond portfolio to forecast the components of the portfolio's total expected return for the next 12 months:

Notional principal	$75 million
Current average bond price	$107.80
Expected average bond price in 12 months if the yield curve remains unchanged	$105.90
Average coupon rate	3.0%
Coupon frequency	Annual

Assuming that there is no reinvestment income, the rolldown return over the 12-month investment horizon is *closest* to:

A) −1.76%.

B) 1.79%.

C) 1.02%.

Question #6 of 83

Question ID: 1674659

Tami Taylor works for a large multinational corporation based in Texas that recently purchased EUR 5 million of Greek bonds from a large shipping conglomerate. Taylor has been called to tomorrow's board meeting to discuss the investment.

Here are selected data on the Greek bond portfolio:

Notional principal of the shipping conglomerate bonds (in millions)	EUR 5.00
Average bond coupon payment (per EUR 100 par)	EUR 5.50
Coupon frequency	Annual
Current average bond price	EUR 94.12
Expected average bond price in one year (assuming unchanged yield curve)	EUR 94.74
Average bond convexity	0.25
Average bond modified duration	5.00
Expected average yield change	+0.50%
Expected yield spread change	+0.20%
Expected USD appreciation versus EUR	0.25%

Assuming no reinvestment income, the expected return of the EUR bond portfolio for the next year is *closest* to:

A) 3.75%.

B) 3.25%.

C) 2.75%.

Question #7 of 83

Question ID: 1674634

A total return strategy focuses on either absolute or relative returns rather than matching returns with liabilities. Which of the following statements *most accurately* captures a total return option for bond investors?

A) Enhanced indexing seeks to minimize tracking error by matching duration, credit risk, and sector exposure with a benchmark.

B) Pure indexing focuses on maximizing active return while minimizing tracking error.

C) Active management permits deviations in duration, credit risk, and sector exposure relative to a benchmark.

Question #8 of 83

Question ID: 1674704

A bond portfolio exhibits the following characteristics:

Characteristic 1:	Bond maturities are spread evenly over the yield curve.
Characteristic 2:	Price risk and cash flow reinvestment risk are balanced in the portfolio.
Characteristic 3:	The portfolio provides good liquidity over time.

The portfolio is *most likely* to be a:

A) barbell portfolio.

B) laddered portfolio.

C) bullet portfolio.

Question #9 of 83

Question ID: 1674658

A German manufacturing company has just completed the divestiture of a large subsidiary and wishes to retire some of its medium-term debt obligations held by institutional and individual investors globally. A bond tender offer to repurchase the debt in the open market is *most likely* to be:

A) costly to implement.

B) relatively straightforward because most corporate debt securities are highly liquid.

C) the only alternative for the company to immunize its exposure to the debt obligations.

Question #10 of 83

Question ID: 1674629

The return volatility exhibited by inflation-linked bonds is *most likely*:

A) lower than the return volatility of equities and fixed-coupon bonds.

B) higher than the return volatility of equities and fixed-coupon bonds.

C) lower than the return volatility of equities, but higher than the return volatility of fixed-coupon bonds.

Question #11 of 83

Question ID: 1674685

Which of the following statements relating to fixed-income portfolio management for a tax-exempt investor is *most accurate*?

Statement 1:	The investor's objective is to maximize risk-adjusted pretax returns.
Statement 2:	All else equal, the investor should prioritize the sale of overvalued bonds over undervalued bonds.

A) Only Statement 1 is accurate.

B) Both Statement 1 and Statement 2 are accurate.

C) Only Statement 2 is accurate.

Question #12 of 83

Question ID: 1674663

Selected data relating to a diversified portfolio of euro-denominated bonds are shown in the following table:

Notional principal	€200 million
Current average bond price	€108.65
Average coupon rate	2.0%
Average effective duration	5.72
Average effective convexity	18

Based on this data and an expected average yield and yield spread change of 42 basis points, the expected change in the portfolio's price is *closest* to:

A) −2.04%.

B) 2.42%.

C) –2.39%.

Question #13 of 83

Question ID: 1674686

When managing a fixed-income portfolio for a taxable investor, which of the following statements is *most accurate*?

Statement 1:	Taxable investors should realize capital losses early and defer the realization of capital gains.
Statement 2:	Taxable investors should evaluate the differences in the taxation of interest income and capital gains when selecting portfolio assets.

A) Only Statement 2 is accurate.

B) Only Statement 1 is accurate.

C) Both Statement 1 and Statement 2 are accurate.

Question #14 of 83

Question ID: 1674705

You manage a bond portfolio with a benchmark duration of 8. You are considering the following possible strategies:

- **Ladder.** Replicate the benchmark with an equal distribution of bonds with durations ranging from 1 to 16 (for a combined duration of 8). The ladder option has convexity of 25.6.
- **Barbell.** This option invests 50% in bonds with a duration of 2 and 50% in bonds with a duration of 14 (for a combined duration of 8). The barbell option has convexity of 29.1.
- **Bullet.** Invest 100% in bonds with a duration of 8 and convexity of 21.2.

You are expecting a large, parallel, and upward shift in the yield curve. Which portfolio should you pick?

A) Pick the ladder portfolio.

B) Pick the barbell portfolio.

C) Pick the bullet portfolio.

Question #15 of 83

Question ID: 1674684

Steve Walsh, a portfolio manager at Berkshire Investments, must raise £10 million to meet a client's cash requirements. His client's assets consist of government and corporate bonds in a separately managed account. Interest income and capital gains are taxed at 45% and 20%, respectively, while capital losses in excess of capital gains in the year can be carried forward and used to offset gains in future years. Walsh considers three corporate bonds with the same coupon, maturity, and credit quality for possible liquidation. Selected data on the three bonds are as follows:

	Bond 1	Bond 2	Bond 3
Market value	£10 million	£10 million	£10 million
Unrealized capital gain/loss	−£1.0 million	£0.5 million	£1.0 million

Based on this information, Walsh is *most likely* to sell:

A) Bond 2.

B) Bond 1.

C) Bond 3.

Question #16 of 83

Question ID: 1674687

Tara Harris is the lead portfolio manager for the Quantas bond fund and needs to raise $8 million to meet expected withdrawals this quarter. The Quantas bond fund's investors primarily consist of medical professionals who are taxed at the top tax bracket in the United States. Harris is considering selling two bonds this quarter to meet the expected redemptions.

The following are selected data for the two bonds:

	Telecomm Bond	Bank Bond
Current market value	$8 million	$8 million
Capital gain/loss	$200,000	–$400,000
Coupon rate	3.50%	4.00%
Maturity	12 years	12 years
Investment committee analysis	Undervalued	Overvalued

Top U.S. income tax rate	39%
Capital gains tax rate	15%

Based on the information just listed, the optimal tax loss harvesting strategy is:

A) sell $8 million of the bank bond.

B) sell $6 million of the telecomm bond and $2 million of the bank bond.

C) sell $8 million of the telecomm bond.

Question #17 of 83

Question ID: 1674682

In which of the following investment vehicles does an investment manager's decisions on when to realize capital gains affect the timing of capital gains tax payments by taxable investors?

Investment Vehicle 1:	A mutual fund with pass-through treatment of capital gains.
Investment Vehicle 2:	A separately managed account.

A) Only Investment Vehicle 1.

B) Both Investment Vehicle 1 and Investment Vehicle 2.

C) Only Investment Vehicle 2.

Question #18 of 83

Question ID: 1674683

Stephanie Joubanian manages a large diversified bond portfolio for a tax-exempt client. Her client now requires $8 million in cash from the portfolio to cover spending needs. Joubanian considers three corporate bonds with the same coupon, maturity, and credit quality for possible liquidation. Selected data on the three bonds are as follows:

	Bond 1	Bond 2	Bond 3
Market value	$8.0 million	$8.0 million	$8.0 million
Unrealized capital gain/loss	−$0.9 million	0	$0.7 million
Investment view	Undervalued	Fairly valued	Overvalued

To meet her client's cash requirements, Joubanian is *most likely* to sell:

A) Bond 1.

B) Bond 3.

C) Bond 2.

Question #19 of 83

Question ID: 1674688

Which of the following statements about the general taxation of mutual funds in various tax jurisdictions in the world is *most accurate*?

A) Treating realized capital gains that occur in a mutual fund as an increase in the net asset value of the fund shares provides investors with the opportunity to defer the payment of capital gains taxes.

B) Interest income earned within a mutual fund is generally taxed within the fund.

C) The pass-through taxation of gains in mutual funds provides investors with the opportunity to defer the payment of capital gains taxes.

Question #20 of 83

Question ID: 1674669

Bill McLaughlin is a fixed-income consultant based in the United States. Last year, he forecasted very little changes in the yield curve for the next 14 months with a normal yield curve. McLaughlin concentrated his portfolio on 10-year U.S. Treasury bonds that had a 2.25% coupon, and he purchased his holdings at an average price of 100.38. McLaughlin expected to sell the bonds in one year at 101.92. McLaughlin selected the 10-year maturities because they were the steepest part of the yield curve that he could purchase, because he was constrained to a 10-year maturity from the IPS.

At the start of last year, the expected rolling yield on the portfolio was *closest* to:

A) 3.74%.

B) 2.24%.

C) 1.05%.

Question #21 of 83

Question ID: 1674651

Which of the following factors is likely to increase the liquidity premium on a bond issue?

Factor 1:	The bond's issuer has a significant number of outstanding bond issues.
Factor 2:	The bond issue will be included in domestic and global bond indices.

A) Only Factor 1.

B) Neither Factor 1 nor Factor 2.

C) Only Factor 2.

Question #22 of 83

Question ID: 1674624

Which of the following features is provided by fixed-income securities, as an asset class?

A) Their diversification benefits are consistent over time and generalized as an asset class.

B) Fixed-income securities offer an imbedded inflation hedge for investors.

C) The regular cash flows provided by fixed income are vital for large institutions like insurance companies.

Question #23 of 83

Question ID: 1674689

Regarding liability-driven investing, which of the following statements is *most correct* relative to Type I liabilities?

A) Modified duration is adequate to model risk exposure.

B) The amount of the payments is known, but the timing of the payments is uncertain.

C) Effective duration is required to model risk exposure.

Question #24 of 83

Question ID: 1674680

Which concept is a good tax management strategy for a bond portfolio manager?

A) Avoid short-term turnover when a bond is trading at a loss.

B) Extend holding periods as long as practical.

C) Focus on high current yielding bonds with short holding periods.

Question #25 of 83

Question ID: 1674666

Jeff Timura is currently the lead portfolio manager for an international fixed-income portfolio. Timura has an upcoming meeting on December 20 with his largest client, Tucker Powell, to discuss the firm's outlook for the upcoming year. At the meeting, Timura tells Powell that he expects the yield curve to continue to remain unchanged for the next 16 months. Assuming the forecast is correct, which of the following statements is *most likely* correct?

A) The current yield (yield income) of an international global portfolio is an incomplete measure of the portfolio's expected return.

B) The best estimate of the bond's return is the portfolio's yield income plus its rolldown return minus its expected credit losses.

C) Because Timura is expecting a stable yield curve, yield income is a good estimate of the bond portfolio's expected return for next year.

Question #26 of 83

Question ID: 1674653

Which of the following factors is *most likely* to increase the bid-ask spread of a bond issue?

Factor 1:	Greater ease in assessing the bond's credit quality.
Factor 2:	Higher risk associated with the bond.

A) Only Factor 2.

B) Only Factor 1.

C) Both Factor 1 and Factor 2.

Question #27 of 83

Question ID: 1674644

Jim Mason is a new associate in operations at a midsized fixed income consulting firm. Mason is trying to learn the benefits of cash flow matching versus duration matching and reaches out to some of his friends on Wall Street for assistance in understanding the key features of liability-based mandates.

Mason's friend, Jeff, tells Mason that the key features of cash flow matching include the following: making no yield curve assumptions, matching the bond portfolio's cash flows to existing liabilities, and frequent rebalancing is not required.

Mason also called his friend, Ted, who tells Mason the benefits of cash flow matching include the following: accommodating multiple yield curve assumptions, frequent rebalancing, and the ability to handle increased complexity, so many advanced traders like this strategy overall.

Which of Mason's friend's explanation of cash flow matching is *most accurate*?

A) Ted's statement.

B) Neither Jeff's nor Ted's statements are correct.

C) Jeff's statement.

Question #28 of 83

Question ID: 1674695

A newly hired analyst makes the following statements relating to the classification of liabilities.

Statement 1:	The issuer of floating-rate instruments and putable bonds has Type II liabilities.
Statement 2:	Treasury Inflation-Protected Securities (TIPS) are Type III liabilities from the perspective of the U.S. Treasury.

Which of the analyst's statements are correct?

A) Statement 1 only.

B) Statement 2 only.

C) Both Statement 1 and Statement 2.

Question #29 of 83

Question ID: 1674637

The total-return mandate of a bond portfolio specifies that the manager should achieve (1) a return objective of 20 basis points over the benchmark index, (2) active risk of less than 50 basis points, and (3) close matching of the benchmark index's primary risk factors. The mandate *most likely* requires the use of:

A) active management.

B) an enhanced indexing approach.

C) a pure indexing approach.

Question #30 of 83

Question ID: 1674681

When managing a fixed-income portfolio for a tax-exempt investor, which of the following strategies is *most likely* to be applied?

A) Controlling portfolio turnover.

B) Realizing capital losses to offset capital gains.

C) Extending holding periods to realize long-term, rather than short-term, capital gains.

Question #31 of 83

Question ID: 1674706

A portfolio has a laddered benchmark and a duration of 8. You are the portfolio manager and you are considering the following possible strategies:

- **Ladder.** Replicate the benchmark with an equal distribution of bonds with durations ranging from 1 to 16 (for a combined duration of 8). The ladder option has convexity of 25.6 and a yield of 4.72%.
- **Barbell.** This option invests 50% in bonds with a duration of 2 and 50% in bonds with a duration of 14 (for a combined duration of 8). The barbell option has convexity of 29.1 and yield of 4.27%.
- **Bullet.** Invest 100% in bonds with a duration of 8, convexity of 21.2, and a yield of 4.92%.

You are expecting a steepening of the yield curve in which the short end of the curve declines by 75 bps, the long end increases by 75 bps, and the intermediate-duration portion remains static. Which portfolio should you pick?

A) Pick the barbell portfolio.

B) Pick the bullet portfolio.

C) Pick the ladder portfolio.

Question #32 of 83

Question ID: 1674690

Hans Wilsdarf specializes in risk management strategies with Bezel Limited and has been hired to defease $5 million of fixed-income liabilities for a local municipality. The bonds under consideration are putable in May 2021, pay interest semiannually of 4.25%, and mature in 2030. Based on the bond's underlying structure, the amount of cash outlay is known, but the timing of cash outlay is unknown.

These liabilities would be classified as:

A) Type IV.

B) Type II.

C) Type I.

Question #33 of 83

Question ID: 1674702

Compared to a bullet portfolio with the same duration and cash flow yield, a laddered portfolio is *most likely* to display:

A) lower convexity.

B) lower cash flow reinvestment risk.

C) outperformance in the event of a large, parallel shift in the yield curve.

Question #34 of 83

Question ID: 1674665

Isabelle Macpherson, CFA, reviews the following data related to a well-diversified global bond portfolio for the next year:

Yield income	2.78%
Rolling yield	1.02%
Expected change in portfolio price based on Macpherson's yield change view (falling yield)	0.82%
Expected change in portfolio price based on Macpherson's yield spread change view (falling spread)	0.12%
Expected currency gains	0.35%

The portfolio's total expected one-year return is *closest* to:

A) 0.43%.

B) 2.31%.

C) 5.09%.

Question #35 of 83

Question ID: 1674626

Which of the following statements is *most* descriptive of a horizon-matching bond immunization strategy?

A) The goal of horizon matching is to fund future liabilities with a combination of cash flow matching and duration matching.

B) Horizon matching is a simple option that sacrifices a manager's ability to have flexibility in fixed-income selection.

C) This strategy uses duration matching for short-term liabilities and cash flow matching for longer-term liabilities.

Question #36 of 83

Question ID: 1674678

Which of the following statements is *most correct* relative to the way that a repurchase (repo) agreement is used to create portfolio leverage?

A) Repos are a long-term funding solution for short sellers.

B) Repos require collateral whose value is higher than the amount being borrowed.

C) These agreements require very specific securities to be used as collateral.

Question #37 of 83

Question ID: 1674697

A portfolio manager adopting liability-driven investing is *most likely* to:

A) view assets as a given and structure liabilities to manage interest rate risk.

B) view liabilities as a given and structure assets to manage interest rate risk.

C) focus on managing the interest rate exposures of both assets and liabilities.

Question #38 of 83

Question ID: 1674648

Which of the following statements regarding fixed-income investing and pricing is correct?

A) The presence of prepay features is easily accounted for in matrix pricing.

B) Buy-and-hold investors typically select higher-yield bonds, and active investors typically select lower-yield bonds.

C) The fact that an increasing amount of bond trading is now done on exchanges has reduced the bid-ask spreads, especially for less liquid bonds.

Question #39 of 83

Question ID: 1674700

A portfolio manager makes the following statements when explaining the construction of a laddered bond portfolio to an individual investor:

Statement 1:	By selecting bonds with maturities spread out over your investment horizon, there should be no further transactions to consider after the initial purchase of bonds.
Statement 2:	Because there is likely to be a bond that is close to maturity at any particular time, the need to sell an illiquid bond to meet a cash flow need is reduced.

Which of the manager's statements is correct?

A) Statement 2 only.

B) Both Statement 1 and Statement 2.

C) Statement 1 only.

Question #40 of 83

Question ID: 1674691

An investment firm recently issued a 5-year, 5% coupon noncallable bond. It also issued a 5-year index-linked guaranteed investment certificate (GIC) that will make a guaranteed principal payment in five years plus a return based on the S&P 500. How would you categorize these instruments under their appropriate liability types?

	Bond	GIC
A)	Type II	Type III
B)	Type I	Type IV
C)	Type I	Type III

Question #41 of 83

Question ID: 1674640

In the context of total return mandates, which of the following features is *most likely* indicative of pure indexing?

A) There are slight mismatches between portfolio weights and the benchmark.

B) There is very low active risk.

C) Most primary risk factors are closely matched.

Question #42 of 83

Question ID: 1674671

A trainee analyst makes the following statements about the use of leverage in fixed-income portfolio management:

Statement 1:	The degree to which leverage affects portfolio returns is dependent on the amount of borrowed funds relative to the portfolio's equity.
Statement 2:	The use of leverage will always increase overall portfolio returns.

Which of the analyst's statements is correct?

A) Both Statement 1 and Statement 2 are correct.

B) Only Statement 1 is correct.

C) Only Statement 2 is correct.

Question #43 of 83

Question ID: 1674641

Amanda Smith is a new member of a large pension fund, and her team is focused on fixed-income investing. Amanda has been researching inflation-linked bond volatility and how this volatility compares to the volatility found with conventional bonds and equities. After concluding her analysis, Amanda is *most likely* to find that inflation-linked bonds:

A) have the same volatility as conventional bonds, but less volatility than equities.

B) generally have lower return volatility than conventional bonds and equities.

C) generally are more volatile than conventional bonds, but less volatile than equities.

Question #44 of 83

Question ID: 1674625

Which of the following statements regarding bonds and inflation is *most accurate*?

A) Floating-rate bonds directly adjust both the coupon and the principal of the reference bond.

B) Fixed-coupon bonds offer no direct element of inflation protection.

C) Inflation-linked bonds directly adjust the coupon and indirectly adjust the principal of the reference bond.

Question #45 of 83

Question ID: 1674656

Which of the following are common fixed-income derivatives that are traded on exchanges?

A) Bond futures and options on futures.

B) Interest rate swaps and credit default swaps.

C) Interest rate swaps and bond futures.

Question #46 of 83

Question ID: 1674676

The following is selected data on the Omega fixed-income mutual fund:

Current average bond price	$105.00
Average modified duration	8.50
Average annual coupon	$1.50
PV of assets (millions)	$120.00
Value of portfolio's equity (millions)	$62.25
Value of borrowed funds (millions)	$30.26
Borrowing rate	1.75%
Return on invested funds	4.25%

The leveraged portfolio return for the Omega fixed-income mutual fund is *closest* to:

A) 5.47%.

B) 9.43%.

C) 5.75%.

Question #47 of 83

Question ID: 1674654

Liquidity can be thought of as the ability to make a large transaction quickly with minimal market price impact. Which of the following is *most correct* relative to bond liquidity concerns?

A) Corporate bond offerings within the same issuer often are highly homogenous.

B) The exchange-traded nature of most fixed-income securities enhances their potential liquidity.

C) On-the-run sovereign securities are the most liquid fixed-income securities.

Question #48 of 83

Question ID: 1674627

When investors display a "flight to quality" in periods of market stress, their investment actions are *most likely* to increase the correlation between:

A) equities and high-yield bonds.

B) government bonds and equities.

C) government bonds and high-yield bonds.

Question #49 of 83

Question ID: 1674667

An institutional portfolio manager is attempting to determine the expected return of a bond portfolio. The bonds in the portfolio are mostly option free. The manager also expects a moderate change in interest rates but is unsure of the direction. Which of the following statements is correct?

A) Convexity is likely to be an important consideration.

B) The computation of yield income is based on actual amounts.

C) The easiest portion of the expected return to compute is the rolldown return.

Question #50 of 83

Question ID: 1674655

Which of these statements is *most correct* relative to the effects of liquidity on bond portfolio management?

A) The current yields from previous bond transactions may be used to calculate present bond pricing.

B) Current bond pricing data may be based on estimates from historical data.

C) Active bond managers prefer illiquid bonds.

Question #51 of 83

Question ID: 1674649

Pierre Labrosse, a trainee bond analyst, has been asked by his supervisor to analyze the factors affecting bond market liquidity. He makes the following notes after his initial research:

Note 1:	The liquidity of sovereign government bonds of different countries is generally similar.
Note 2:	On-the-run issues are typically more liquid than off-the-run issues of comparable bonds.

Which of Labrosse's notes is *most accurate*?

A) Only Note 1 is accurate.

B) Both Note 1 and Note 2 are accurate.

C) Only Note 2 is accurate.

Question #52 of 83

Question ID: 1674692

A bank has both Type II and Type III liabilities. The bank uses modified duration to model its Type II liabilities and effective duration to model its Type III liabilities. Which of the following statements regarding modeling the bank's liabilities is *most accurate*?

A) The bank adequately models only its Type III liabilities.

B) The bank adequately models both its Type II and Type III liabilities.

C) The bank adequately models only its Type II liabilities.

Question #53 of 83

Question ID: 1674672

Which of the following statements relating to the use of futures contracts in leveraging fixed-income portfolios is *most accurate*?

Statement 1:	Bond futures contracts enable investors to obtain exposure to a large amount of bonds without having to purchase the underlying bonds.
Statement 2:	The leverage obtained by using a futures contract is calculated as the ratio of the margin amount to the notional value of the futures contract.

A) Only Statement 1 is accurate.

B) Only Statement 2 is accurate.

C) Neither Statement 1 nor Statement 2 is accurate.

Question #54 of 83

Question ID: 1674628

A U.S. investor who wishes to construct a dedicated portfolio of domestic bonds over a long-term horizon is *most likely* to use a combination of:

A) mortgage-backed securities (MBSs) and TIPS.

B) floating-coupon Treasury securities and callable corporate bonds.

C) fixed-coupon Treasury securities and TIPS.

Question #55 of 83

Question ID: 1674647

An analyst is concerned about how convexity interplays with their portfolio. After conducting some research, they find that convexity:

A) will increase the price reaction when interest rates unexpectedly increase.

B) is positively correlated with yields.

C) will increase the price reaction when interest rates unexpectedly decrease.

Question #56 of 83

Question ID: 1674675

Credit risk is a major source of concern for repo agreements. Protection against borrower default can be mitigated by the safety of the underlying security that is used as collateral and the "haircut" that requires additional capital over the principal borrowed amount.

Which of the following statements regarding the haircut is *most accurate*?

A) The size of the haircut is not related to the underlying asset's volatility.

B) Average credit spreads determine the haircut, not volatility.

C) The size of the haircut increases as the volatility of the underlying asset increases.

Question #57 of 83

Question ID: 1674674

Forced liquidation of a leveraged fixed-income portfolio may be required when the portfolio's value:

A) falls, decreasing the ratio of borrowed funds relative to the portfolio's equity and increasing the portfolio's leverage.

B) rises, decreasing the ratio of borrowed funds relative to the portfolio's equity and decreasing the portfolio's leverage.

C) falls, increasing the ratio of borrowed funds to the portfolio's equity and increasing the portfolio's leverage.

Question #58 of 83

Question ID: 1674668

A bond investor purchases a 5-year bond paying a 6% annual coupon rate on a semiannual basis with a current bond price of $950. Over the next year, the rolldown return from rolling down the yield curve to the expected yield curve is computed as 1.9%. In addition, the expected change in price for the year based on the investor's yield view is 0.8%. Which of the following amounts is *closest* to the total expected return from this yield curve strategy (ignore any reinvestment interest)?

A) 8.7%.

B) 9.9%.

C) 9.0%.

Question #59 of 83

Question ID: 1674633

Investors may prefer a potentially more lucrative liability-based bond strategy. Which statement *best* describes a contingent immunization strategy?

A) When the present value of the portfolio's liabilities exceeds the present value of the portfolio's assets, this strategy resorts to active bond management.

B) Contingent immunization is a hybrid that merges active bond management and immunization.

C) When the present value of the portfolio's assets exceeds the present value of the portfolio's liabilities, this strategy resorts to immunization.

Question #60 of 83

Question ID: 1674694

Defined benefit pension plan obligations are *most likely* to be classified as:

A) Type II liabilities.

B) Type IV liabilities.

C) Type III liabilities.

Question #61 of 83

Question ID: 1674657

Which of the following statements listing the typical liquidity of fixed-income subsectors from highest to lowest is *most accurate*?

A) Corporate bonds with shorter maturity, corporate bonds with longer maturity, sovereigns.

B) Corporate bonds with shorter maturity, sovereigns, corporate bonds with longer maturity.

C) Sovereigns, corporate bonds with shorter maturity, corporate bonds with longer maturity.

Question #62 of 83

Question ID: 1674639

The total return mandate of a bond portfolio specifies a return objective of 75 basis points over the benchmark index. The mandate permits the portfolio's duration to deviate significantly from that of the benchmark index. If the mandate also permits the portfolio to exhibit higher turnover than the benchmark index, the portfolio *most likely* requires the use of:

A) a pure indexing approach.

B) active management.

C) an enhanced indexing approach.

Question #63 of 83

Question ID: 1674696

An investor holding option-free, fixed-rate Treasury securities is *most likely* to classify these investments as:

A) Type I liabilities.

B) neither Type I assets nor Type I liabilities.

C) Type I assets.

Question #64 of 83

Question ID: 1674679

Which the following statements relating to active yield curve strategies is correct?

Statement 1:	To increase portfolio duration using leverage, additional bonds with duration greater than that of the current portfolio should be purchased.
Statement 2:	The most efficient way to add convexity to a well-diversified bond portfolio is to shift the distribution of bonds in the portfolio.

A) Statement 2 only.

B) Neither Statement 1 nor Statement 2.

C) Statement 1 only.

Question #65 of 83

Question ID: 1674703

Compared to a barbell portfolio with the same duration and cash flow yield, a laddered portfolio is *most likely* to display:

A) lower cash flow reinvestment risk.

B) higher convexity.

C) outperformance in the event of a large, parallel shift in the yield curve.

Question #66 of 83

Question ID: 1674635

An investment analyst states that the following conditions are required when implementing a duration-matching approach to a fixed-income mandate:

Condition 1:	The duration of the portfolio of bond assets and the duration of the liabilities must be the same.
Condition 2:	The present value of the portfolio of bond assets must exceed the present value of the liabilities at current interest rates.

Is the analyst correct with respect to the conditions for duration matching?

A) Yes.

B) No. Only Condition 2 is correct.

C) No. Only Condition 1 is correct.

Question #67 of 83

Question ID: 1674661

A fixed-income analyst gathers the following data on a domestic bond portfolio to forecast the components of the portfolio's total expected return for the next 12 months:

Notional principal	$75 million
Current average bond price	$92.50
Expected average bond price in 12 months if the yield curve remains unchanged	$95.25
Average coupon rate	1.5%
Coupon frequency	Annual

Assuming that there is no reinvestment income, the rolling yield over the 12-month investment horizon is *closest* to:

A) 2.97%.

B) 4.59%.

C) –2.89%.

Question #68 of 83

Question ID: 1674650

An analyst gathers the following data on three U.S. corporate bonds:

	Bond A	Bond B	Bond C
Issue size	80	100	100
Maturity	10 years	5 years	10 years
Credit rating	A	AA	A
Time since issuance	26 weeks	2 days	12 weeks

Based on this information, the bond with the highest liquidity premium is *most likely* to be:

A) Bond A.

B) Bond B.

C) Bond C.

Question #69 of 83

Question ID: 1674636

An analyst makes the following statements about the key features of a pure indexing approach to bond portfolio management:

Statement 1:	The portfolio must hold all the bonds in the same proportions as the benchmark index.
Statement 2:	The risk factors of the portfolio and the benchmark index are matched exactly.

Which of the analyst's statements is correct?

A) Both Statement 1 and Statement 2 are correct.

B) Only Statement 1 is correct.

C) Only Statement 2 is correct.

Question #70 of 83

Question ID: 1674699

Which of the following is a benefit of a bond ladder strategy?

A) Ladder portfolios create natural liquidity, which increases the ability to use less liquid bonds.

B) A laddered strategy focuses on price risk at the expense of higher reinvestment risk.

C) Ladder portfolios have less convexity than bullet portfolios.

Question #71 of 83

Question ID: 1674631

Which of the following bond portfolios preserves the purchasing power of coupon payments to the greatest extent? Assume each portfolio is valued at the same absolute dollar amount.

A) Portfolio C (70% fixed-coupon bonds, 5% floating-coupon bonds, 25% inflation-linked bonds).

B) Portfolio B (65% fixed-coupon bonds, 15% floating-coupon bonds, 20% inflation-linked bonds).

C) Portfolio A (80% fixed-coupon bonds, 10% floating-coupon bonds, 10% inflation-linked bonds).

Question #72 of 83

Question ID: 1674646

Bond X and Bond Y have the same duration. If Bond Y has the higher convexity, which of the following statements is *most likely* to be correct in the event of a large yield change?

A) Bond Y will experience a larger price increase when yields fall, while Bond X will experience a larger price decrease when yields rise.

B) Bond X will experience a larger price increase when yields fall, while Bond Y will experience a larger price decrease when yields rise.

C) Both bonds will experience the same price change when yields fall and when yields rise.

Question #73 of 83

Question ID: 1674693

Liability-driven investing (LDI) is a form of an asset-liability management that is *most appropriately* used to meet the investment objectives of:

A) individual investors only.

B) institutional investors only.

C) both institutional investors and individual investors.

Question #74 of 83

Question ID: 1674645

If a new government bond is issued with a negative coupon rate due to low rates of interest, the duration of the new bond will:

A) be longer than its maturity.

B) not be affected by its negative coupon rate.

C) be shorter than its maturity.

Question #75 of 83

Question ID: 1674643

The bond type that protects against inflation for both the coupon payments and the principal received at maturity is:

A) fixed coupon.

B) inflation linked.

C) floating coupon.

Question #76 of 83

Question ID: 1674664

Selected data relating to a diversified portfolio of sterling-denominated bonds are shown in the following table:

Notional principal	£120 million
Current average bond price	£97.25
Average coupon rate	2.0%
Average effective duration	6.38
Average effective convexity	23

Based on this data and an expected average yield and yield spread change of −0.29%, the expected change in the portfolio's price is *closest* to:

A) −1.84%.

B) 2.79%.

C) 1.86%.

Question #77 of 83

Question ID: 1674673

Nick Johnsen manages a well-diversified portfolio of government and corporate bonds. He is considering the use of interest rate swaps and structured financial instruments to leverage his portfolio's returns. If Johnsen expects interest rates to rise over the next five years, which of the following positions is *most likely* to benefit from his interest rate expectations?

A) Fixed-rate receiver in an interest rate swap.

B) Fixed-rate payer in an interest rate swap.

C) Long position in an inverse floating-rate note.

Question #78 of 83

Question ID: 1674638

Jessica Crawford is analyzing the characteristics of three bond funds for her supervisor at Gamma Investment Advisors. All three funds use a total-return approach and the same index as a benchmark. The following table shows selected data relating to the three bond funds and the benchmark index:

	Fund A	Fund B	Fund C	Index
Sector Allocation				
Government and agency	46.4%	47.5%	41.2%	47.8%
Corporate	24.6%	23.7%	28.3%	23.5%
MBS and other ABS	29.0%	28.8%	30.5%	28.7%
Return and Risk Data				
Duration	5.57 years	5.56 years	6.32 years	5.54 years
Yield	1.69%	1.62%	1.75%	1.64%

Based on this information, the fund that is *most likely* to use active management is:

A) Fund B.

B) Fund C.

C) Fund A.

Question #79 of 83

Question ID: 1674662

Michelle Crozier, a fixed-income strategist, is analyzing the expected one-year return of the bond portfolio shown in the following table:

Notional principal	$100 million
Current average bond price	$102.50
Average coupon rate (paid semiannually)	2.25%
Sector allocation	
Government	45.2%
Agency	10.7%
Corporate (plain vanilla)	39.0%
Corporate (callable)	5.1%

Based on this data, Crozier is *most likely* to forecast the expected change in the portfolio's price based on her yield and yield spread view using:

A) modified duration and convexity.

B) effective duration and effective convexity.

C) modified duration.

Question #80 of 83

Question ID: 1674642

Amy Leslie currently has 40% of her overall portfolio invested in a diversified fixed-coupon bond portfolio with an average duration of eight years. The remainder of her portfolio is evenly spread across both large- and small-cap stocks that are balanced globally across many sectors and countries, primarily through diversified ETFs. Leslie primarily wants to reduce the overall risk of her portfolio and keep up with inflation until she retires in 16 years.

Leslie is a professional photographer and has a limited understanding of the financial markets. During a recent meeting with her financial advisor, Leslie was informed of some changes that she should consider making to her portfolio. Her advisor identified that the correlation coefficient of Leslie's current bond portfolio with her equity holdings is –.05. Also, the correlation coefficient between her equity holdings and an ETF consisting of inflation-linked bonds is .23. Finally, the approximate correlation coefficient between Leslie's current fixed-income portfolio and the proposed inflation-linked ETF is relatively high at .55.

Her advisor recommends that Leslie should diversify her current fixed-coupon bond holdings by adding inflation-linked bonds to her portfolio.

The following action Leslie would take, considering her primary goal is to reduce her portfolio risk and to keep up with inflation until she retires, is *most likely*:

A) rebalance 25% of her fixed-income holdings into inflation-linked bonds.

B) reduce her current bond holdings by 25% and purchase small-cap emerging market stocks with the proceeds.

C) ignore the recommendation because her portfolio is already properly diversified.

Question #81 of 83

Question ID: 1674652

A disadvantage of matrix pricing for bonds is that it:

A) may be difficult to identify comparable bonds to the bond being priced.

B) cannot be used for illiquid bonds.

C) does not require sophisticated modeling of term structure and credit spreads.

Question #82 of 83

Question ID: 1674632

Safeera Khan owns a large portfolio that is invested in domestic equities. Khan's portfolio has a correlation of −0.20 with a domestic fixed-coupon bond portfolio and a correlation of −0.10 with a domestic floating-coupon bond portfolio. Khan is *most likely* to diversify her portfolio into domestic floating-coupon bonds to:

A) increase the level of inflation protection provided by the portfolio.

B) maximize the risk-reduction benefits from diversification.

C) fund future liabilities more accurately.

Question #83 of 83

Question ID: 1674670

Selected data relating to a fixed-income portfolio are shown in the following table:

Amount of portfolio's equity	£50 million
Amount of borrowed funds	£100 million
Return on invested assets	4.8%
Rate paid on borrowed funds	2.2%

The levered portfolio return is *closest* to:

A) 10.0%.

B) 6.1%.

C) 5.7%.